

GNIOT Institute of Management Studies – PGDM (Batch 2020-22)**(TRIMESTER – IV) END TERM EXAMINATION, OCTOBER - 2021****ENTERPRISE RESOURCE PLANNING (ERP)****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 100]****INSTRUCTIONS:**

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**

SECTION-A**(Short Answer Type Questions, do not exceed 100 words)****Q.1. Attempt all parts of the following:****(10×3=30)**

- (a) Data mining
- (b) User resistance of ERP GO Live
- (c) Gap Analysis
- (d) Vanilla implementation
- (e) OLAP Vs. OLTP
- (f) Importance of Vendor Selection
- (g) Briefly explain about SaaS in ERP environment
- (h) Maintenance and Security of an ERP system
- (i) Application of ERP in manufacturing industry
- (j) IOT

SECTION-B**(Long Answer Type Questions)****Attempt all questions of the following:****(4×10=40)****Q.2. (a) Explain in detail about ERP implementation methodology****OR**

- (b) Describe about the ERP functional modules (i) Human capital Management
- (ii) Financial management (iii) Supply chain planning (iv) Sales and service

Q.3. (a) Assume you are a CEO of a mid-size automobile company. You are to implement ERP system in your organization. Could you proceed to implement ERP system, after identified the need for such system?**OR**

- (b) In the context of service industries explain the application of ERP application.

Q.4. (a) Do you think BPR (Business Process Re-engineering) is a pre requisite for the implementation of an ERP System? Why?**OR**

- (b) Analyse the statement “Change Management is a broad concept, which applies to all the Stages of ERP life cycle, and must be handled as a structured

Q.5. (a) Do you agree “the ultimate goal of ERP system to integrate all the functions would be achieved in the near future”? Justify your answer**OR**

- (b) Critically evaluate “The application of AI and Blockchain in the area of Supply Chain Integration”

SECTION-C

ERP and Web-enabled IT

Cisco Systems is a leader in the information technology (IT) world. In 1999, over 75% of Internet traffic traveled through one or more of Cisco's products. When their own system failed, though, the company realized they had to do something or risk losing an extensive amount of commerce. They decided on implementing an ERP system and completely web-enabling their entire business. Cisco took a 'big bang' approach with the ERP system. The \$115 million project was a success and Cisco continues to be a leader networking technology.

Morgridge the CEO brought in players to help manage Cisco. Morgridge maintained a centralized functional organization. Manufacturing, customer support, finance, HR, IT and sales organizations were all a part of the centralization. The only portion of Cisco that was decentralized was their research and development (R&D). R&D had been split up into three separate groups (Enterprise, Small/Medium Business, and Service Provider) in order to best serve their customers. The company's strategy allowed for them to be stable in a fast paced market, especially because Cisco was truly growing quickly.

Chambers, who did become CEO in 1995, believed if Cisco could execute these four tactics, then they would be the lead architect of technologies for the new Internet-based infrastructure for voice, data and video to be delivered through one network. The company was growing like crazy, their products being shipped all over the world. Unfortunately, their internal software systems were not able to accommodate the growth. The IT department was too traditional in being viewed as a cost center reporting through the finance department. Also, the rapid growth of Cisco was playing havoc on their computer systems. Peter Solvik joined Cisco in 1993 as the new CIO and he made several changes to accommodate these "problems". IT began reporting to the Senior Vice President (SVP) of Customer Advocacy. Their budget was moved giving them only a General and Administrative account. This created a structure that any work IT did was funded by the client, a.k.a. the department that needed the IT services. These and other changes were made in order for IT to function more efficiently.

Unfortunately, Solvik had not gotten to the actual systems before the crashed in January 1994. Cisco's central database became corrupted and the company was shut down for two days. Carl Redfield, SVP of manufacturing took the lead and made the way to implement a new ERP system. A month after the failure, a team was put together to select an ERP product. It was immediately decided that it would be a "big bang" implementation and there was going to be little adaptation. Early on, Cisco's management team knew they would need to meet not just IT needs, but business needs and that would require involvement from the business community.

They had to only pull people for the project that "absolutely did not want to give up". Cisco chose KPMG to be their partner in the implementation of a new system. KPMG saw a real opportunity and were a group of very experienced people in the industry.

Once KPMG was selected, the next step was to select a vendor with the best software package. Within two days, the team narrowed down the field to only five vendors. Just another week later and they had narrowed it down to two, Oracle and an unnamed vendor. Cisco ultimately chose Oracle for several reasons:

1. Oracle had a better manufacturing capability than the other vendor.
2. Oracle made several promises considering long-term development and functionality of the package.
3. Oracle was geographically close by.
4. Oracle gave Cisco a "super deal" because they really wanted to win the contract.
5. This was Oracle's chance to show off their new ERP product.

Before presenting to the board, the team had to come up with a timeframe and a budget for the project. Looking at the way Cisco split up their fiscal year, and the length of the project, they decided to try and go live on January 30, 1995, nine months after the project kick off. The team then looked at the cost of software, system integration, headcount and hardware, deciding on a \$15 million budget. Finally, the team took the numbers to Morgridge (at this point he was still CEO). His response was lukewarm; fifteen million dollars was a lot of money to spend, but approved the proposal and presented it to the board himself. The board endorsed the project and it became one of seven major goals for the year (1994).

Links to strategic vendors and customers allowed Cisco to collaborate more efficiently with those outside the company. Cisco Systems' corporate Intranet, Cisco Employee Connection (CEC) provided centralized access to information, tools and resources needed to streamline processes, facilitate knowledge, exchange and maximize employee productivity. CEC was a key enabler of workforce optimization. Distance learning modules were accessible from every desktop in the company, all over the world. Cisco kept track of which modules were being accessed as to better maintain and create effective training material.

The changes that Cisco made regarding the ERP systems and IT development gave the company a competitive advantage and increased shareholder value. Solvik estimated a \$1.3 billion gain, which Cisco was able to put into R&D and allowing it to continue to be at the forefront of network technology throughout the world.

Q.6. Attempt all parts of the following:

(2×15=30)

6 (a) What are the main causes those initiate the need of ERP in Cisco?

6 (b) Explain the importance of vendor selection before implementing ERP solution?